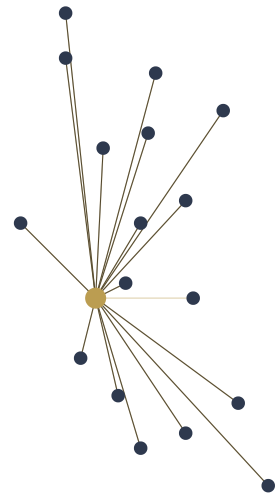




HUDHUD

The Shipment Journey

A Business Process Design Reference



This version highlights everything that changed compared to Version 5. Changed passages are marked with a **CHANGED IN V6.3** tag or a highlighted phrase; unmarked content is unchanged from v5.

VERSION 6.3 · AUGUST 2026 · ENGLISH

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How to Read This Document

This document explains, from start to finish, how a package moves through Hudhud — from the moment someone decides to send it, to the moment Hudhud has been fully paid for delivering it, including everything that happens when things do not go as planned.

It covers the shipment's journey only — order through delivery, payment, and any return that follows. Company-wide topics like hiring, driver recruitment, or hub construction are not included here yet.

How rules are marked

- A **Confirmed Decision** block marks a rule that is settled and already governs how Hudhud operates.
- An **Open Item** block marks something not yet decided, or something flagged for a deliberate decision rather than a default.
- A **Role boundary** block spells out exactly what a role is and is not allowed to decide on its own.

This is a working draft

Every section of this document — including every block marked “Confirmed Decision” — is a draft of the logistics business logic, put forward for management to audit, challenge, and redraw. Nothing here is beyond revision. The document itself will also keep expanding: later versions will add more detail and more views of the operation, in steps, rather than attempting to cover everything at once.

Terms & Definitions

A short glossary for anyone reading this without prior context.

TERM	DEFINITION
Shipment	One physical parcel moving through the journey described in this document.
Order	The commercial request behind one or more shipments — who is sending what, to whom, and under what terms.
Merchant	A sender approved by Hudhud to send parcels regularly, with pre-printed labels and standing policies on file.
Regular customer	Any individual who installs the app and creates a shipment request without merchant status.
Acceptance Scan	The scan at pickup that starts Hudhud's custody and the 24-hour delivery goal.
OTP	CHANGED IN V6.3 The code sent to the receiver, which authorizes handover. Anyone holding the OTP can receive the parcel, regardless of who they are — the driver enters it into the driver app, and the app validates it before the handover proceeds.
ID verification	CHANGED IN V6.3 The fallback when the OTP isn't available. Unlike the OTP, this only works for the specific receiver the merchant named at registration — the driver checks their ID against the on-file details and photographs it as a record.
COD	CHANGED IN V6.3 Cash on delivery — payment collected from the receiver at the point of delivery, rather than in advance.

TERM	DEFINITION
Open-box	A merchant-enabled option letting the receiver open and inspect a parcel before finalizing acceptance, instead of accepting it sealed.
Return-fee ownership	Who pays the cost of sending a refused parcel back to the merchant. In this document, that is always the merchant. CHANGED IN V6.3 Whether Hudhud might waive this fee as a merchant feature is an open question — see Appendix A.
Refund ownership	Who is responsible for returning money to a receiver after a refusal. Hudhud only refunds when Hudhud itself collected the payment in advance; otherwise, refunding is a matter between merchant and receiver.
Hudhud's liability position	CHANGED IN V6.3 Hudhud takes full responsibility for a parcel's physical safety while it is in Hudhud's custody, and compensates the sender if something happens to it (see Chapter 9).
Compensation claim	CHANGED IN V6.3 The process by which Hudhud reviews a report of parcel damage or loss and pays the sender, since Hudhud is responsible for the parcel by default (see Chapter 9).
Checkpoint scan	Any scan that records a parcel passing a stage of the journey — pickup, hub arrival, hub departure, or hand-off to a last-mile driver.
Hub cashier	The person at a hub responsible for collecting and reconciling cash from drivers.
Settlement	The process of reconciling collected cash or payments and updating a merchant's balance.

1. The Journey at a Glance

Every shipment passes through eight stages. The first seven happen in a fixed order and form one continuous, timed journey; the eighth only activates when the receiver does not keep the parcel.

FIGURE 01 — PIPELINE OVERVIEW

One timed journey, eight stages, one control tower

Stages run in a fixed order and every stage carries a scan — that is how custody is tracked. No parcel photo is taken at any stage unless the merchant has added the free photo-documentation add-on.

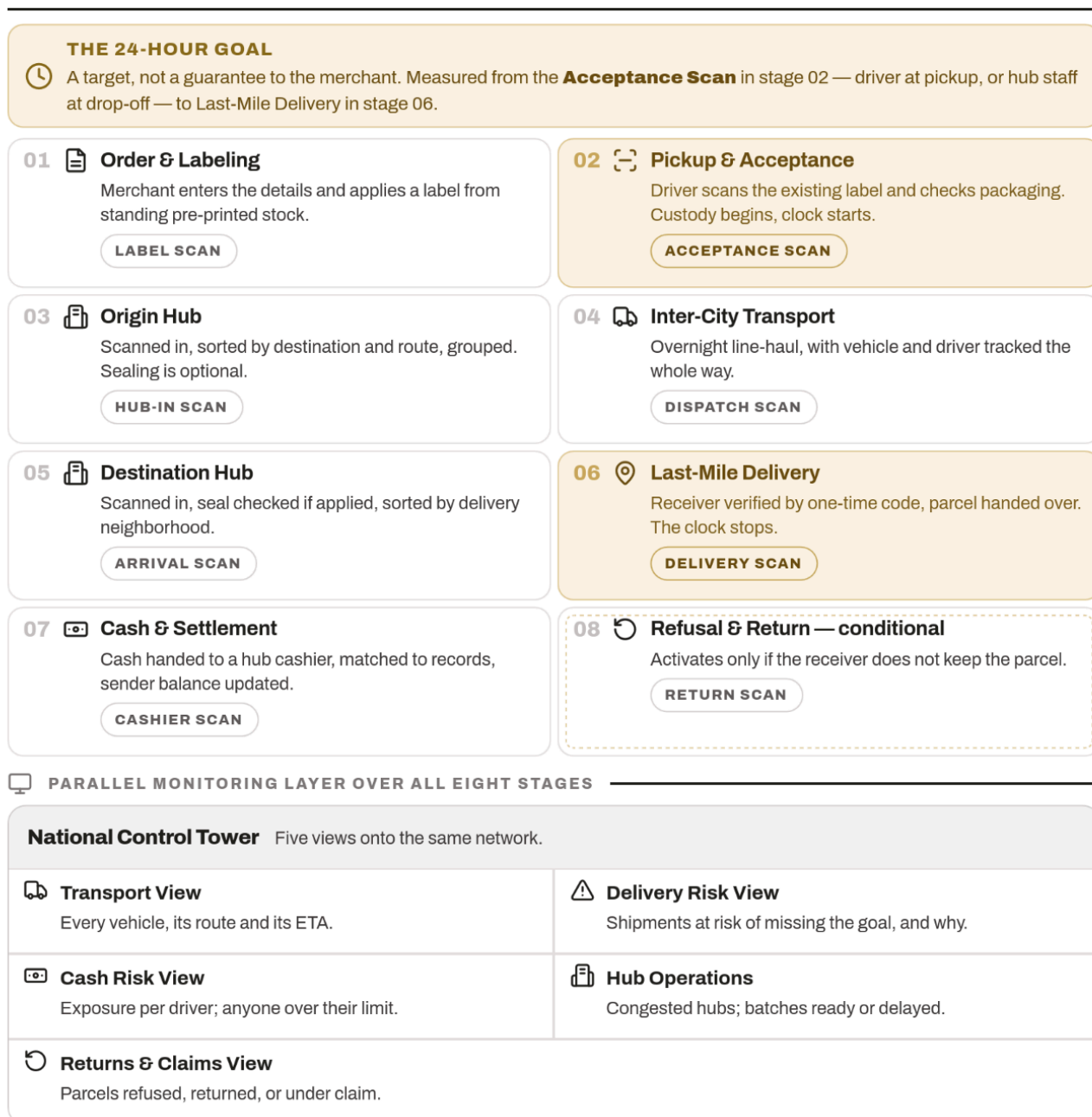


Figure 1 — The shipment journey, from Order & Labeling through Refusal & Return

Text description of Figure 1:

Order & Labeling → Pickup & Acceptance → Origin Hub → Inter-City Transport
→ Destination Hub → Last-Mile Delivery → Cash & Settlement → (if refused)
Refusal & Return

24-hour delivery goal: starts at Pickup & Acceptance, ends at Last-Mile Delivery.

Every stage is scanned. Photos are only captured if the merchant has added the optional photo add-on (free of charge) (Chapter 2).

Confirmed decision

CHANGED IN V6.3

The 24-hour delivery window is a goal Hudhud is working toward, not a promise made to the merchant. It is measured from the moment a driver scans the parcel at pickup — not from the moment the order was created. Creating an order is a request; the acceptance scan is Hudhud taking custody.

2. Order Creation, Merchant Status & Labeling

A shipment can begin in one of two ways: through a merchant with standing policies on file, or through any individual using the app directly.

Anyone can send a parcel

CHANGED IN V6.3 Any individual can install the app and create a shipment request without being a merchant — entering the parcel's details and the receiver's information themselves. This is the **regular customer** path, and it works differently from the merchant path: **there is no pickup for a regular customer**. Instead, the regular customer either enters the parcel's details in the app and then brings the parcel to a hub themselves, or simply goes to a hub without entering anything in advance and has hub staff take the details on the spot. Either way, **it is hub staff — not the customer — who sticks the label onto the parcel and scans it**, at the hub. From that point on, the journey continues exactly as it would for a merchant's parcel (see Chapter 4 onward).

Confirmed decision

CHANGED IN V6.3 A regular customer's parcel has no **COD** option. Hudhud only transports and delivers it — if the receiver owes the sender money, collecting it is between the sender and receiver directly, not something Hudhud handles.

Becoming a merchant

FIGURE 02 — BECOMING A MERCHANT

From customer to merchant, in-app

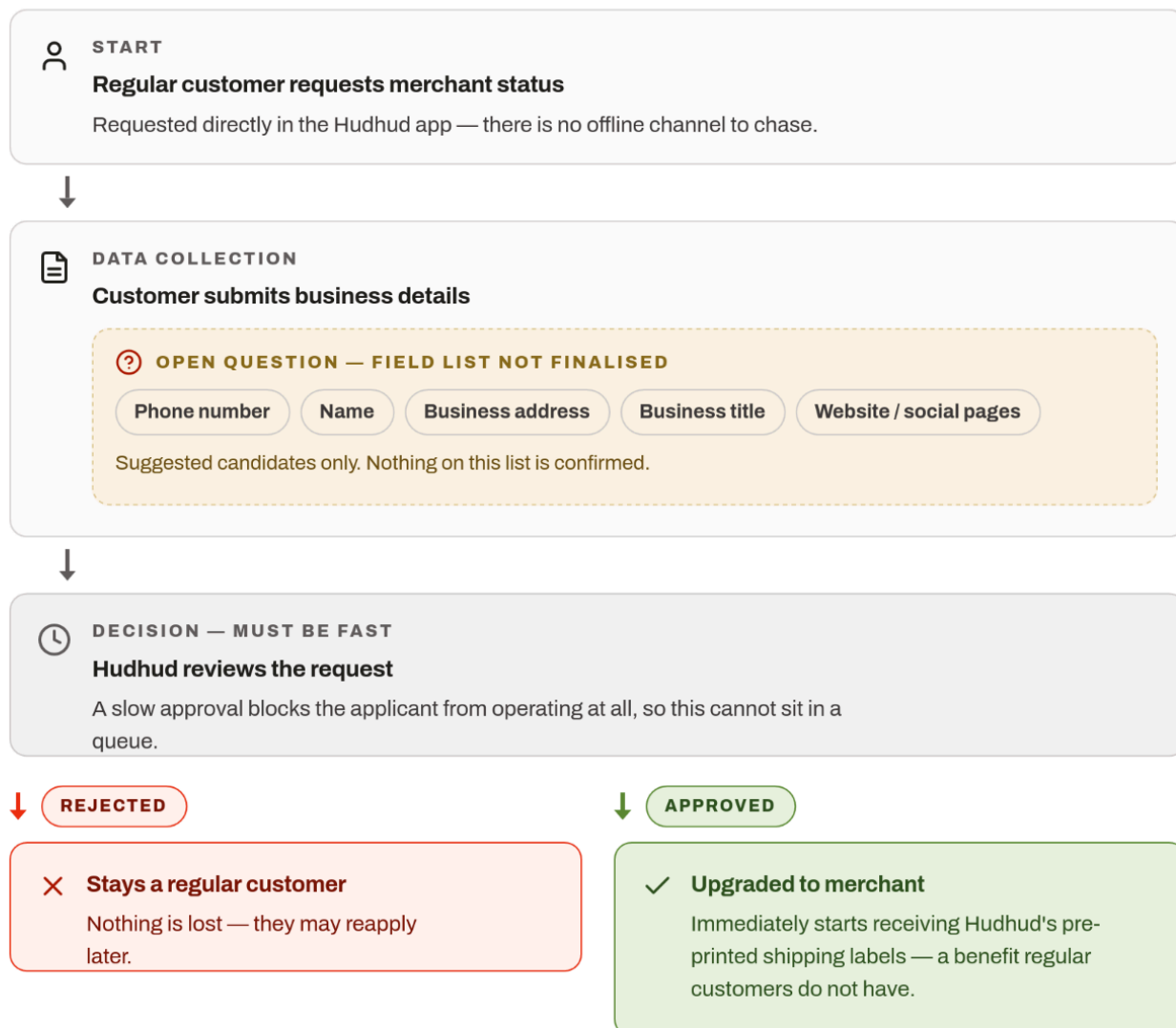


Figure 2 — How a regular customer applies for, and receives, merchant status

Text description of Figure 2:

- Regular customer uses the app
- Requests merchant status in the app
 - Provides merchant details (exact data set: open item)
 - Hudhud reviews the request
 - Approved?
 - NO → Stays a regular customer (may re-apply later)
 - YES → Upgraded to Merchant (now receives pre-printed labels)

Open item — research question

What data should Hudhud collect from a customer applying for merchant status? This has not yet been defined and needs a deliberate answer before the application flow can be built.

How a shipment gets registered — the merchant path

CHANGED IN V6.3

Labels are not printed on demand for each parcel — a merchant already keeps a stock of pre-printed barcode labels on hand (given to them when they were approved as a merchant). Registering a shipment means:

- The merchant enters the parcel's details into the app — receiver information, payment terms, and so on.
- The merchant takes one of their pre-printed labels and sticks it onto the parcel.
- The merchant scans that label, which links it to the details just entered, and writes the receiver's information on the label by hand as a physical backup.
- The parcel now sits ready, waiting for a pickup driver's matching scan.

FIGURE 03 — ORDER & LABEL REGISTRATION**Labels are never printed per parcel**

An approved merchant keeps a standing stock of pre-printed barcode labels on hand at all times. Registration takes a label out of that stock — it never creates one.

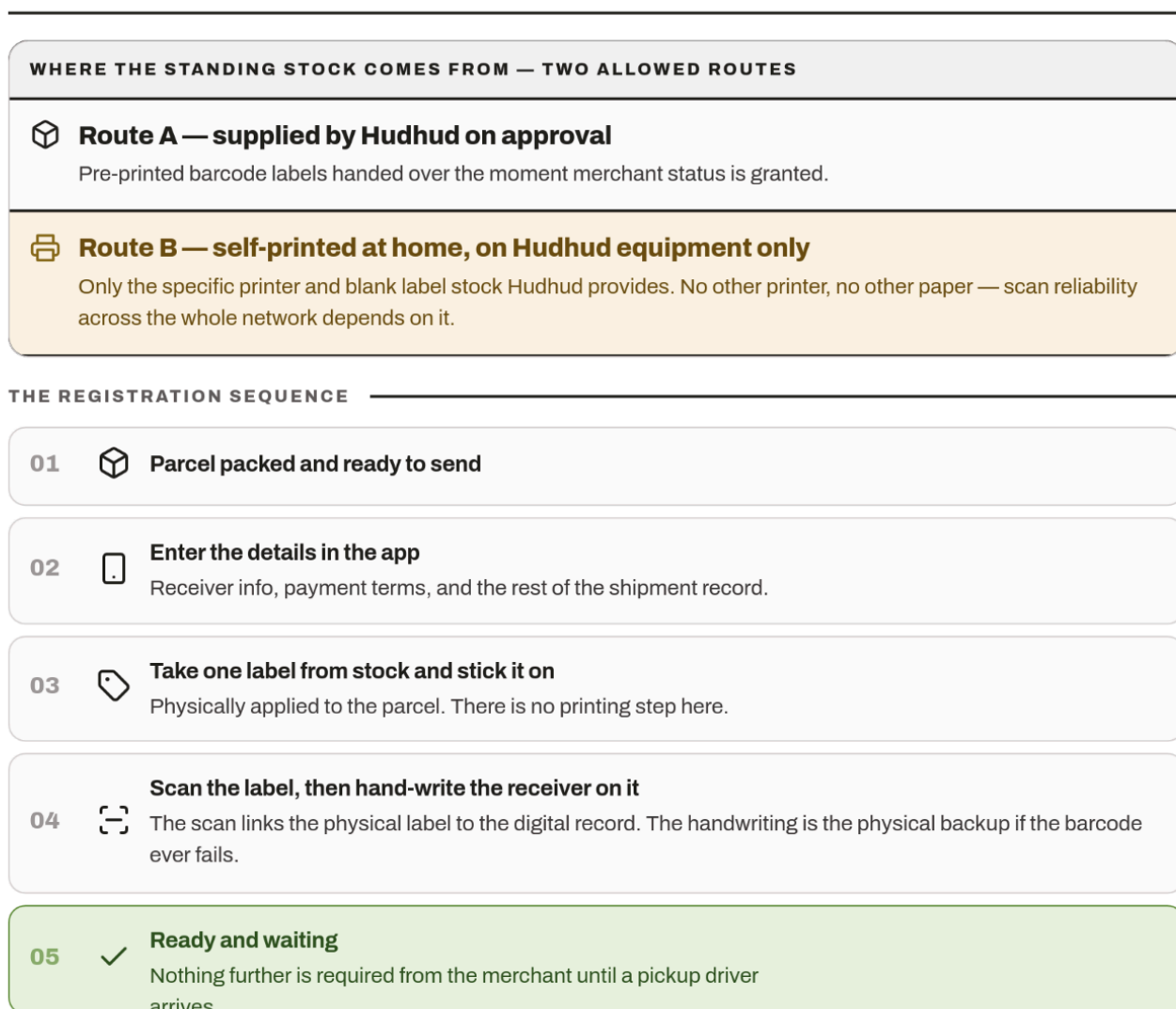


Figure 3 — What the merchant does before any driver is involved

Text description of Figure 3:

Merchant has a parcel to send

- Enters parcel & receiver details in the app
- Merchant takes one of their pre-printed labels and sticks it onto the parcel
- Merchant scans the label and writes receiver info on it by hand, as a backup
- Registered – waiting for the pickup driver's matching scan

CHANGED IN V6.3

Resolved: a merchant who wants to print their own labels can — but only using a specific printer and blank label stock that Hudhud provides. A merchant may not use any other printer or label stock for this. This keeps label quality reliable across the network, since every later stage depends on these labels scanning correctly.

What the sender provides

INFORMATION

WHY IT MATTERS

Receiver's phone number, and governorate	Mandatory — the minimum Hudhud needs to reach and route to the receiver
Receiver's name, address, and precise location (map pin)	Optional — helpful for the driver, but not required to register a shipment
COD amount (if any)	Determines what the driver must collect (merchant shipments only — see Chapter 2 above)
Whether payment is prepaid, postpaid, or COD	Determines what happens at the door
Whether open-box is allowed	Determines whether the receiver may inspect before accepting
A description of the parcel	Required — the sender must define what the parcel is, even if exact weight and size are not provided

Confirmed decision

CHANGED IN V6.3

Weight and size are optional. What is required instead is that the sender defines the parcel — a basic description of what it is — so it isn't registered as an unknown item.

What each sender sets, versus what Hudhud sets once for everyone

What each sender sets, per shipment or as a standing merchant policy:

- Whether open-box inspection is allowed at the door (off by default)
- Who pays the delivery fee under normal (non-refusal) circumstances
- The commercial details of the order itself — receiver, payment terms, declared COD amount
- Whether to add the optional photo-documentation add-on (see below)
- Whether to use Hudhud-supplied packaging (see below)

What Hudhud sets once, the same for every sender, and no sender can override:

- The acceptance and packaging standard a driver applies at pickup
- Who pays the return-trip fee and the delivery fee when a parcel is refused (always the merchant, regardless of reason)
- Whether Hudhud refunds a receiver directly (only when Hudhud itself collected the payment in advance)
- **CHANGED IN V6.3** The 3-day hold before an undelivered parcel is returned
- The 10-minute wait rule at the door
- **CHANGED IN V6.3** Hudhud takes full responsibility for the parcel's safety while it is in Hudhud's custody — see Chapter 9

Role boundary — Sender

The sender decides the commercial terms and whether open-box or add-ons apply. The sender does

not

decide return-fee ownership, refund ownership, the 3-day hold period, or Hudhud's liability position — those are fixed, company-wide rules.

Confirmed decision

One order can produce more than one shipment. The order is the commercial agreement; each shipment is a physical parcel that separately goes through its own journey.

Optional add-on: photo documentation

For **no additional charge**, a merchant can add photo documentation to a shipment. When enabled, a photo is taken at pickup, and at delivery — both before the receiver opens the parcel (if open-box is also enabled) and after. Without this add-on, no photo is taken at any stage.

Optional add-on: Hudhud-supplied packaging

Hudhud can optionally supply merchants with packaging: boxes in different sizes, strong plastic bags, and sealing stickers carrying a unique scannable code. This seal is scanned at delivery, and an intact-seal confirmation is sent to the merchant. This is a per-parcel seal purchased by the merchant — a different thing from the optional hub-level seal on a batch of parcels described in Chapter 5.

3. Pickup & Acceptance

CHANGED IN V6.3

A driver is assigned to collect the parcel from a merchant only — regular customers do not get a pickup (see Chapter 2).

FIGURE 04 — PICKUP SCAN FLOW

The driver's only job is to scan what is already there

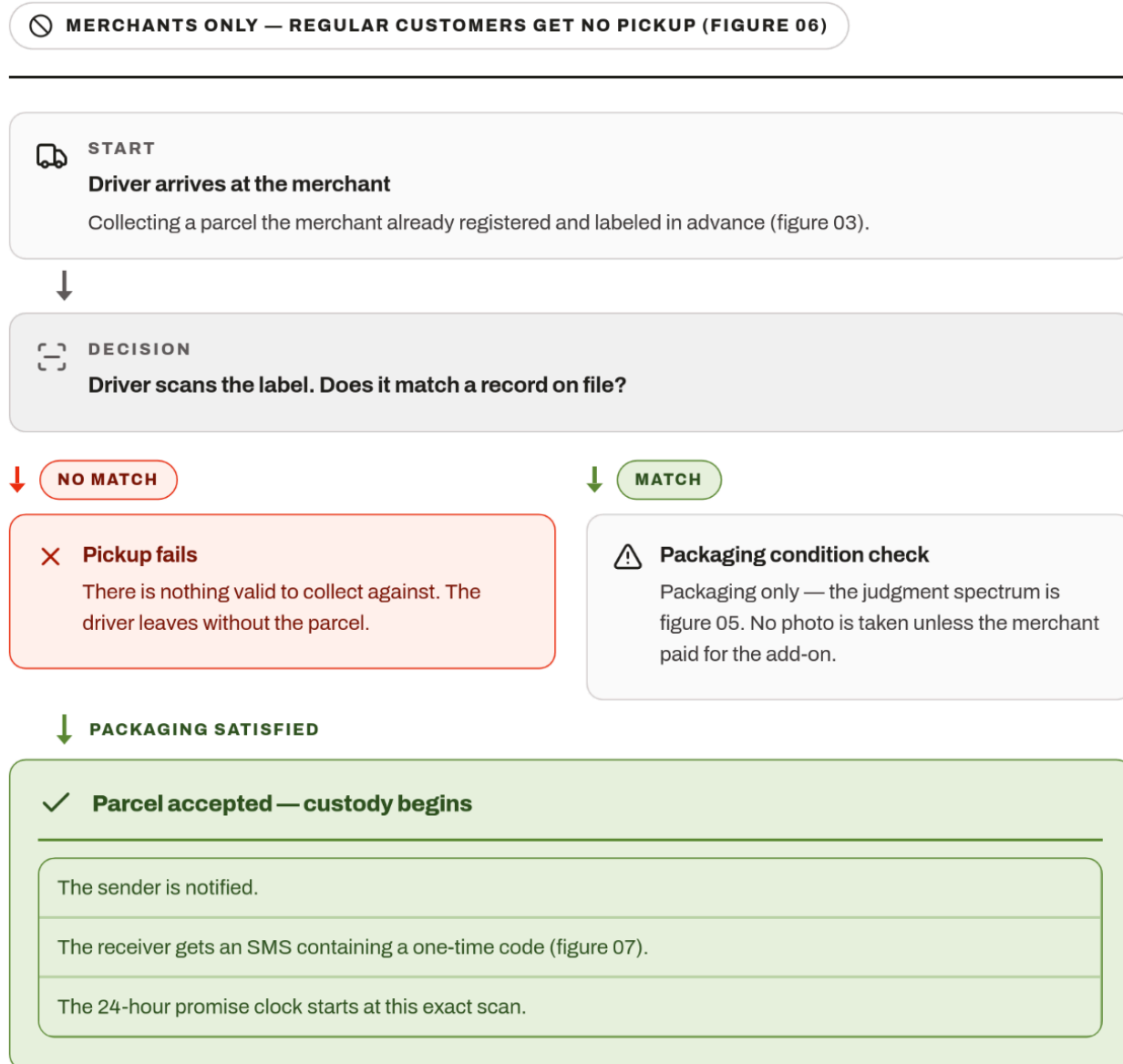


Figure 4 — Merchant pickup: scan the existing label, match the record

Text description of Figure 4:

Driver arrives at merchant pickup

→ Driver scans the existing pre-printed label

→ Scan matches a registered record?

NO → Pickup Failed (label/registration mismatch)

YES → Condition check: packaging only, no photo unless the photo add-on was purchased

→ Accepted — custody begins; sender notified; receiver gets SMS + OTP

Confirmed decision

CHANGED IN V6.3

No label is ever printed fresh, per parcel — merchants keep a stock of pre-printed labels on hand (either supplied by Hudhud, or self-printed using the Hudhud-provided printer and blank stock). A pickup driver only ever scans a label that's already on the parcel — drivers do not carry blank labels or label parcels themselves, since regular customers are no longer picked up.

The driver's decision at the door

SITUATION

WHAT HAPPENS

Scan matches a registered parcel, condition looks acceptable

Accepted — custody begins

Scan does not match any registered parcel

Pickup fails — nothing to collect against

Packaging looks too weak to survive transport

Driver may warn the sender or refuse, at their judgment

Parcel is visibly damaged already

Driver may accept with a note, or refuse, depending on severity

FIGURE 05 — WEAK PACKAGING JUDGMENT

A spectrum of driver discretion, not a pass/fail check

Judged by the pickup driver, in the moment, at the merchant's location — purely on whether the packaging looks sturdy enough to survive the trip.

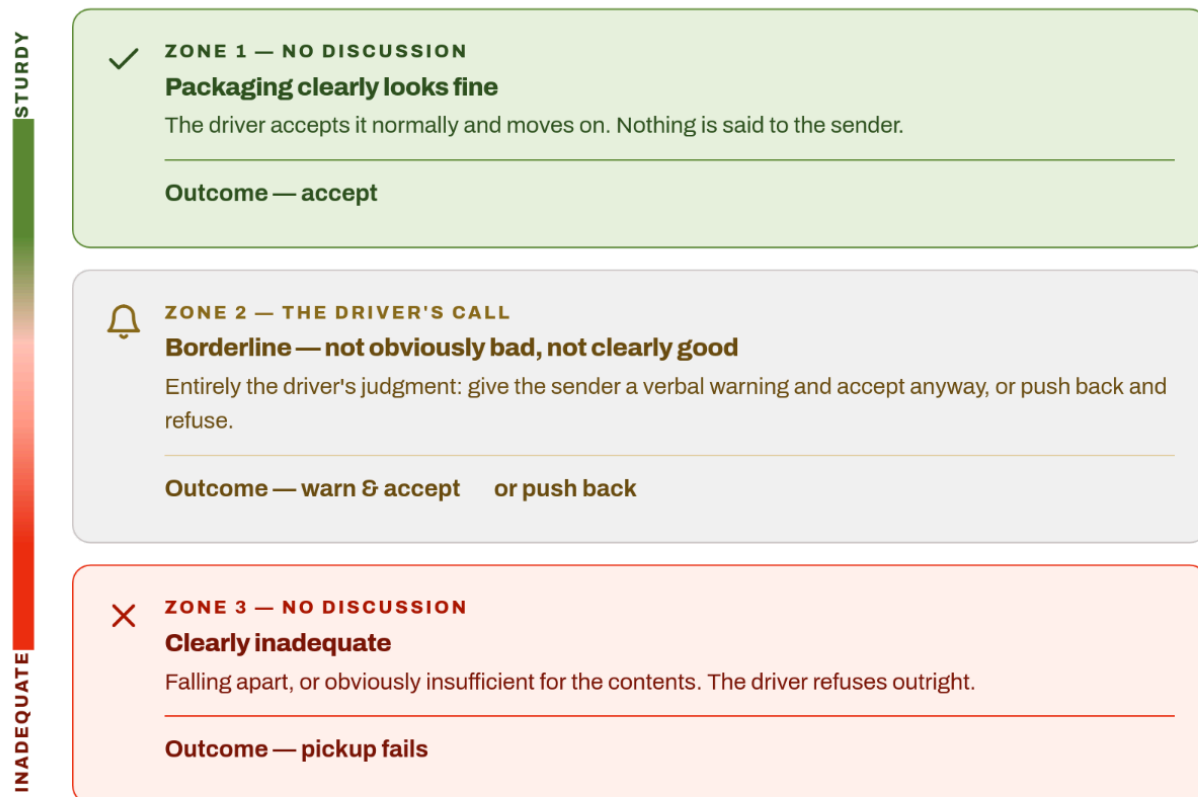


Figure 5 — The driver's on-the-spot call at pickup

Text description of Figure 5:

Driver inspects packaging

→ Looks like it will survive transport?

Clearly yes → Accepted normally

Borderline → Driver's judgment call: warn the sender, or accept anyway

Clearly no → Refused — pickup fails

Confirmed decision

Hudhud's responsibility — and the 24-hour delivery clock — begins the moment the driver scans and accepts the parcel, not before.

Role boundary — Pickup Driver**CHANGED IN V6.3**

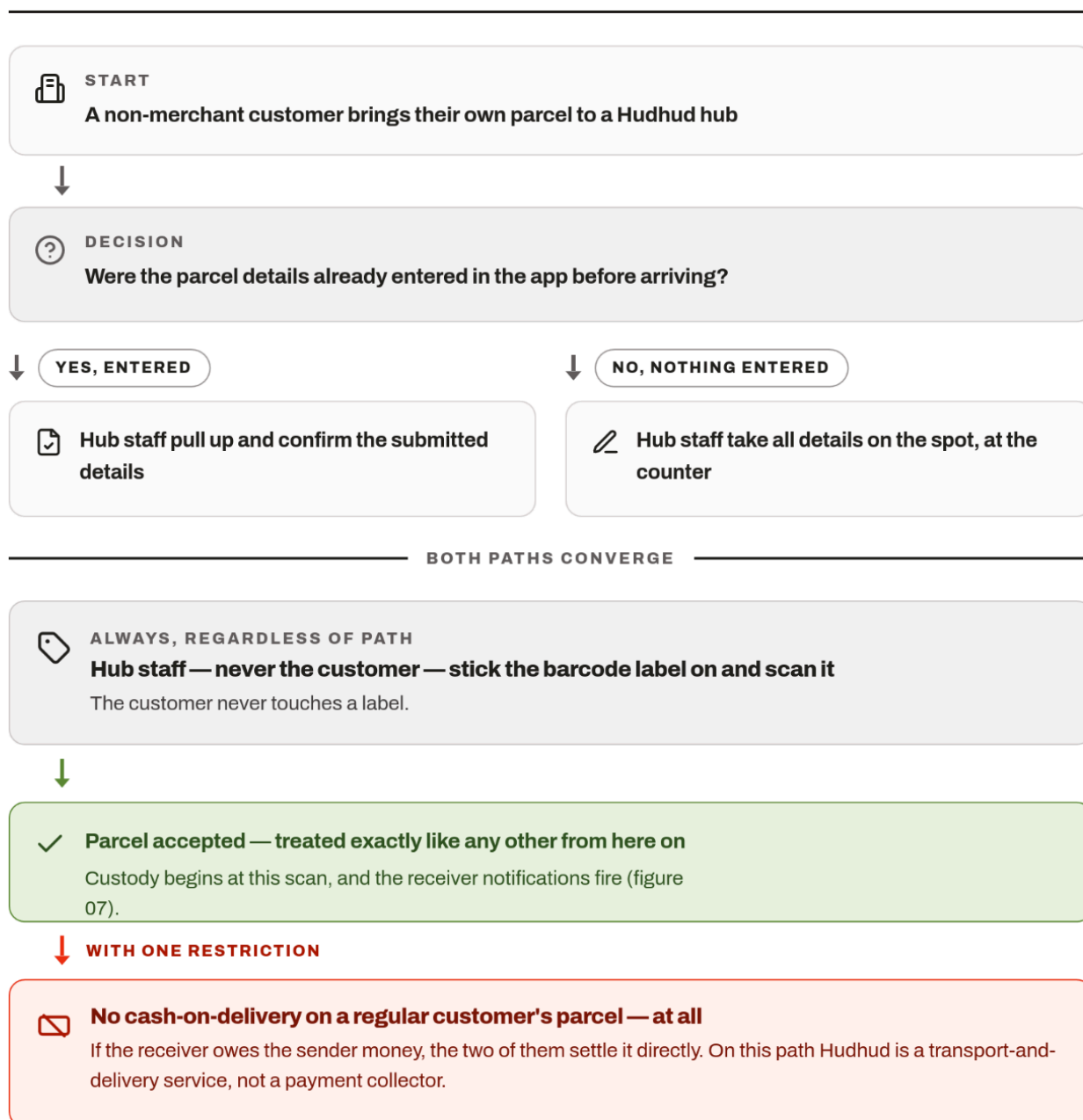
The driver decides the acceptance judgment call at the door — including weak-packaging warnings or refusal. The driver does **not** decide commercial policy.

CHANGED IN V6.3**Regular customer drop-off at a hub**

A regular customer's parcel never gets a pickup. Instead:

- The customer either enters the parcel's details in the app beforehand, or arrives at a hub without entering anything at all.
- If details weren't entered in advance, hub staff take them on the spot.
- Hub staff — not the customer — stick a label onto the parcel and scan it, linking it to the shipment details.
- From this point, the parcel is treated exactly as an accepted parcel would be — custody begins, and it proceeds into hub processing like any other shipment.

FIGURE 06 — HUB DROP-OFF

The regular-customer path — drop-off replaces pickup entirelyFigure 6 — No pickup, no **COD**: the customer brings the parcel in themselves**Text description of Figure 6:**

Regular customer arrives at a hub with a parcel

→ Were the details already entered in the app?

NO → Hub staff take the parcel details on the spot

YES → Hub staff confirm the details already submitted

- Hub staff stick a label onto the parcel and scan it
- Accepted – custody begins; no COD is available for this parcel

Notifications sent right after pickup or hub drop-off

CHANGED IN V6.3 As soon as the parcel is scanned and accepted — whether that happened at a merchant pickup or at a hub drop-off — notifications go out immediately:

- The **sender** gets an app notification confirming the parcel has been **accepted**.
- The **receiver** always gets an SMS. It contains **the OTP and a link to track the parcel on the website**.
- If the receiver has installed the app, they also get an app notification.
- **CHANGED IN V6.3** If the receiver's phone number has a WhatsApp account, they additionally **get a more detailed WhatsApp message**, encouraging them to install the app so they can specify their handover time window and their exact address and location, for their own convenience.
- **CHANGED IN V6.3** The same encouragement — **install the app to specify a time window and exact location** — is also shown on the tracking website itself, when the receiver opens the SMS's tracking link.

FIGURE 07 — EARLY RECEIVER NOTIFICATION**The moment a parcel is accepted, the receiver hears about it**

Fires on acceptance from either path — merchant pickup (figure 04) or hub drop-off (figure 06) — long before any delivery attempt. The pre-delivery notification is separate and much later (figure 09).

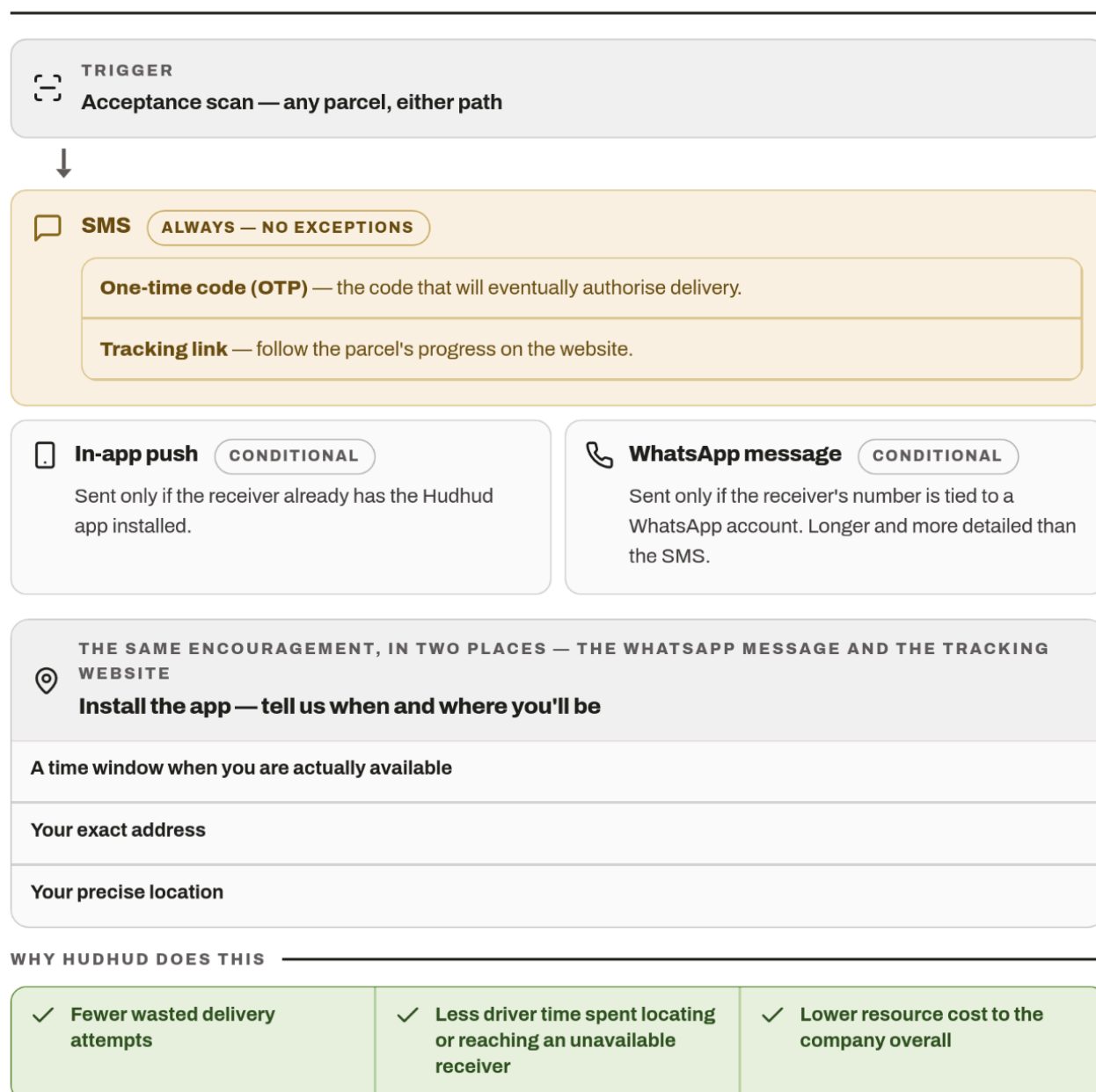


Figure 7 — Sent the moment the parcel is accepted, long before a driver ever sets out to deliver

Text description of Figure 7:

- Parcel accepted — at pickup or at a hub drop-off
- Receiver gets an SMS: OTP + tracking link (always)
- Receiver gets an app notification (if the app is installed)
- Receiver gets a detailed WhatsApp message (if their number has WhatsApp), encouraging app install for a time window + exact address/location
- Opening the tracking link on the website shows the same encouragement

→ Last-mile driver plans around any time window the receiver specified (Chapter 7)

This is separate from — and happens well before — the notification, SMS, and phone call sent right before a driver sets off to deliver (Chapter 7). The goal is fewer failed attempts, less time spent trying to reach an unavailable receiver, and less driver time and resources spent overall.

4. Origin Hub Processing

Once accepted, the parcel travels to the nearest hub, where it is prepared to travel between cities.

- It is scanned in on arrival.
- It is sorted by destination city, urgency, and route.
- It is grouped together with other parcels heading the same way.
- A security seal may be applied to that group — this is optional, left to the hub's discretion.

If a parcel is only travelling within the same city, this hub-to-hub stage is skipped entirely, and the parcel goes straight toward last-mile delivery.

5. Inter-City Transport

Parcels travelling between cities are moved overnight, after the relevant hub's daily cut-off time, so they land at the destination city in time to still be delivered within the same working day. **CHANGED IN V6.3** This cut-off time is set per hub, not company-wide — different hubs can have different cut-off times.

FIGURE 08 — CHECKPOINT SCANNING CHAIN

Origin hub to destination hub, scan by scan

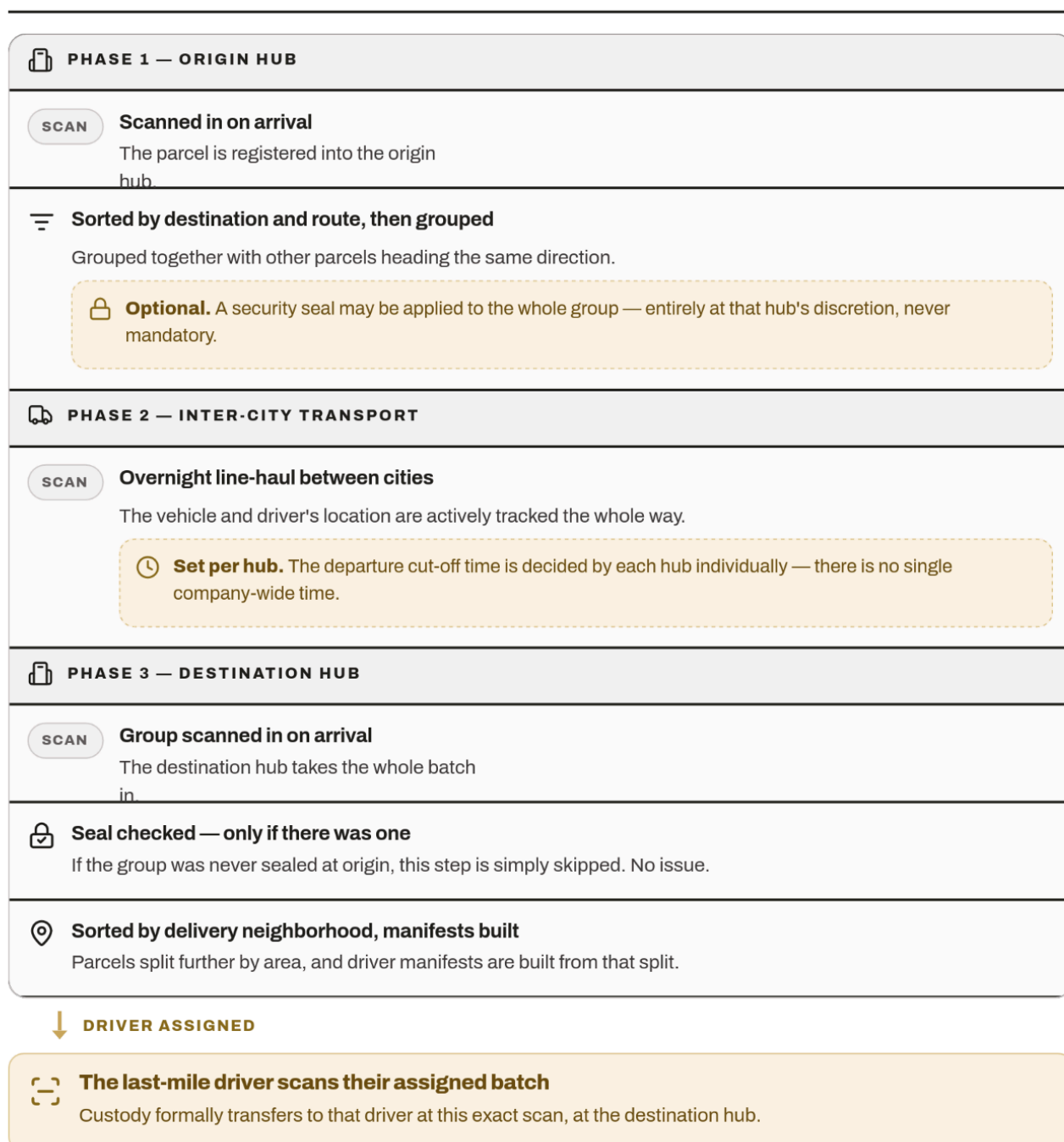


Figure 8 — How custody passes from hub to hub — every handoff is a scan, sealing is optional

Text description of Figure 8:

Origin Hub: scan-in → sort → group for transport → seal (optional, hub's discretion)
→ Inter-city transport: overnight, vehicle and driver location tracked
→ Destination Hub: scan-in → if sealed, seal checked → sort by neighborhood → build driver manifests
→ Last-Mile Driver: scans assigned parcels at destination hub → custody transfers on scan

How the shipment is watched while in transit

- The transport vehicle itself is tracked.
- The driver's own device provides a second, independent way of confirming the vehicle's location.
- The expected route is watched for major deviation, and the estimated arrival time is continuously updated.

Role boundary — Linehaul Driver

The linehaul driver follows the assigned route and reports deviation or delay. They do not have authority to split a grouped parcel batch early or deliver directly to a receiver.

Confirmed decision

CHANGED IN V6.3

If a checkpoint along an inter-city route opens a parcel, Hudhud returns that parcel to the merchant. As a monitoring measure, Hudhud can add cameras inside inter-city transport vehicles.

6. Destination Hub & Preparing for Delivery

On arrival at the destination hub, the parcel group is scanned in. If it was sealed at the origin hub, the seal is checked at this point; if it wasn't sealed, this check is simply skipped.

- Arrival is scanned and logged.
- If sealed, the seal is checked; a mismatch opens a tamper investigation rather than proceeding normally.
- Parcels are sorted by delivery neighborhood, to group them into batches for individual drivers.
- Each last-mile driver receives their own manifest by scanning their assigned parcels — this scan is also what transfers custody to that driver.

Role boundary — Hub Staff (Destination)

Destination hub staff verify a seal only when one exists, and sort for delivery. A seal mismatch must always become a recorded investigation, never a silent pass-through.

7. Last-Mile Delivery

The driver delivering to the receiver is carrying out an official Hudhud route — not acting as an independent agent. Every last-mile driver has a quick-search tool on their phone to find any specific parcel in their load on demand.

What happens, in order

- The driver scans their assigned parcels at the destination hub — this both builds their manifest and transfers custody to them.
- Before setting off, the receiver always gets three things: an app notification, an SMS, and a phone call from the driver — all before the driver moves toward the receiver's location.

CHANGED IN V6.3

 These give an ETA, not an exact delivery time — Hudhud does not commit to a precise minute of arrival.
- On arrival, if the receiver is not present, the driver waits up to 10 minutes. If the receiver still hasn't shown up, the driver leaves and the attempt is counted as failed.
- If the receiver is present,

CHANGED IN V6.3

 the driver asks for the OTP. Anyone holding the OTP can receive the parcel, regardless of who they are — the code itself is what matters, not the person's identity. If the OTP isn't available, only the specific receiver the merchant named at registration can complete the handover instead, by showing identification. The driver checks that ID against the receiver's details already on file in the app, and takes a photo of the ID card as a record, before completing the handover. The OTP is verified by the driver entering it into the driver app, which validates it — this is what authorizes the handover for that path.
- The receiver either accepts the parcel, or — if the merchant has enabled open-box for that shipment — opens and checks it first before deciding.
- If the receiver keeps the parcel: payment is collected if needed, and it is marked Delivered.
- If the receiver does not keep the parcel — for any reason — it is not delivered, and enters the return process (Chapter 9).

FIGURE 09 — LAST-MILE DECISION FLOW

One 10-minute wait, one app-validated handover, one decision at the door

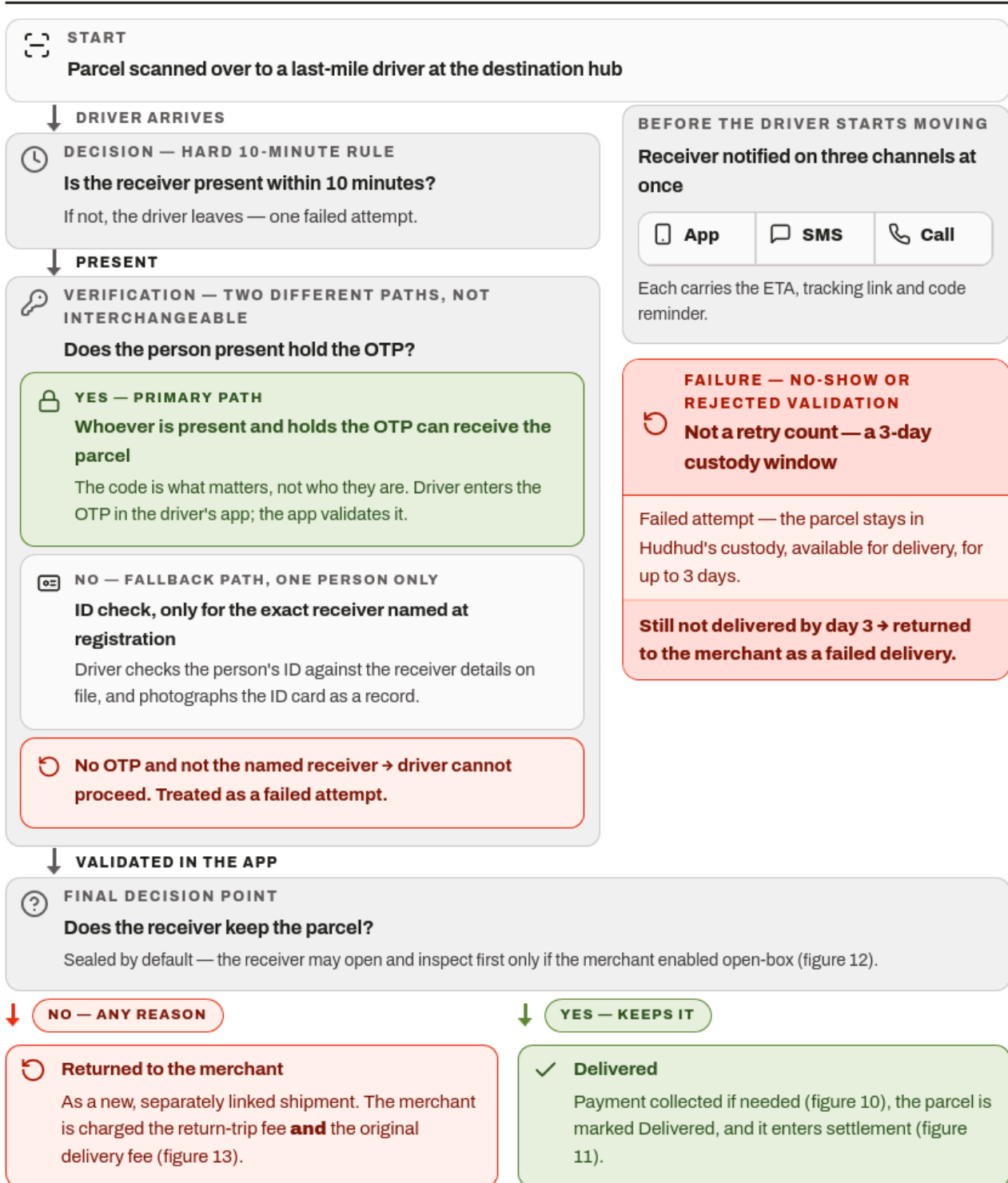


Figure 9 — From hub hand-off to Delivered, or Returned to Merchant after three days unclaimed

Text description of Figure 9:

Parcel scanned to driver

→ Receiver notified: app + SMS + call (ETA, tracking link, OTP reminder — not an exact time)

```

→ Driver arrives at the location
→ Receiver present within 10 minutes?
  NO → Driver leaves, attempt counted as failed
      → Parcel held by Hudhud, available for delivery, for up to 3 days
      → Delivered or claimed within 3 days? NO → Returned to Merchant
(delivery failed)
  YES → Does whoever is present have the OTP?
      YES (anyone with the OTP) → Driver enters it in the driver app – app
  validates it
      NO → Is this person the receiver named by the merchant?
          YES → Driver checks their ID against the on-file details,
  photographs the ID
          NO → Cannot proceed – treated as a failed attempt
      → Verified?
          NO → Delivery attempt fails → same 3-day hold as above
          YES → Receiver accepts, or (if merchant enabled it) opens & checks
first
              → Keeps the parcel?
                  NO → Returned to Merchant (new linked shipment, return fee
+ delivery fee charged to merchant)
                  YES → Delivered (payment collected, enters settlement)

```

Role boundary — Last-Mile Driver

The driver executes the route: call, arrive, verify the OTP or ID, collect payment, hand over or return the parcel. The driver does

not

have authority to skip verification, extend the 10-minute wait past policy, or accept an ID from anyone other than the merchant-named receiver.

Reasons a delivery attempt fails

- Receiver not present within the 10-minute wait
- OTP could not be verified, or the person present isn't the merchant-named receiver and has no OTP
- Receiver refuses the parcel, with or without a stated reason

Confirmed decision

CHANGED IN V6.3

A parcel that cannot be delivered stays in Hudhud's custody, available for delivery, for up to three days. If it is still not delivered by the end of that window, it is returned to the merchant as a failed delivery. This replaces the earlier three-attempt limit.

8. Cash Collection & Merchant Settlement

COD is treated as core to the business. For a COD parcel, it is not acceptable for it to be marked Delivered unless the payment has actually been collected. If a **card** payment attempt fails at the door, the driver falls back to collecting cash instead — a failed card attempt is never treated as a dead end.

FIGURE 10 — PAYMENT CONFIRMATION

What must be true before a shipment counts as paid

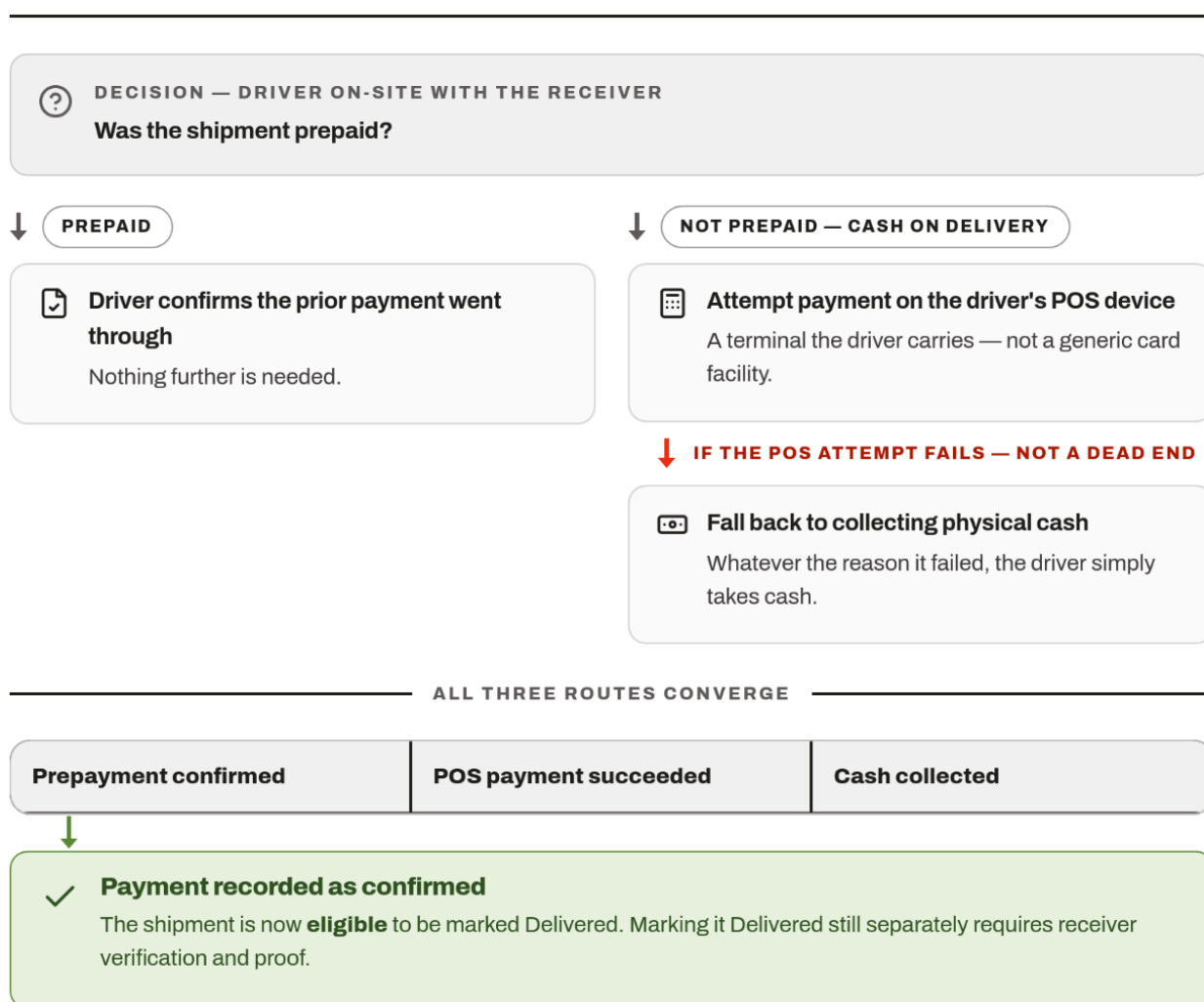


Figure 10 — What must be true before a shipment is allowed to count as “paid”

Text description of Figure 10:

Driver on-site with receiver
→ Was payment already made in advance?

- NO (COD) → Collect cash, or via the driver's POS device (card/tap)
 - POS attempt succeeds? NO → fall back to cash | YES → continue
- YES (prepaid) → Confirm the prior payment
 - Payment recorded as confirmed
 - Eligible to be marked Delivered (still requires receiver verification + proof)

Tracking cash as it moves

CONCEPT	WHAT IT MEANS IN PRACTICE
Driver's cash record	A running record of exactly how much physical cash each driver is currently holding and owes back to Hudhud
Cash limits per driver	A cap on how much cash any one driver is allowed to be holding at once
Hub cashier	A dedicated person at the hub who collects cash directly from drivers
CHANGED IN V6.3 Driver's POS device	A point-of-sale device the driver carries, accepted as a COD collection method alongside cash
End-of-route reconciliation	The cash a driver hands to the hub cashier is checked against what they were supposed to collect
CHANGED IN V6.3 Exchange-office transfer	Instead of returning to a hub, a driver may transfer collected cash via a money exchange office and upload a photo of the receipt; the driver can then continue delivering and collecting further COD payments right away, while an accountant verifies the receipt afterward.
Sender's running balance	Reflects confirmed deliveries and cash that has been successfully reconciled
Payout on request	Once the sender requests reconciliation, funds can move by bank transfer, Mastercard, a money-

CONCEPT

WHAT IT MEANS IN PRACTICE

exchange partner, or by directing the sender to collect cash in person at a hub

FIGURE 11 — CASH RECONCILIATION & PAYOUT

From the driver's pocket to the merchant's account

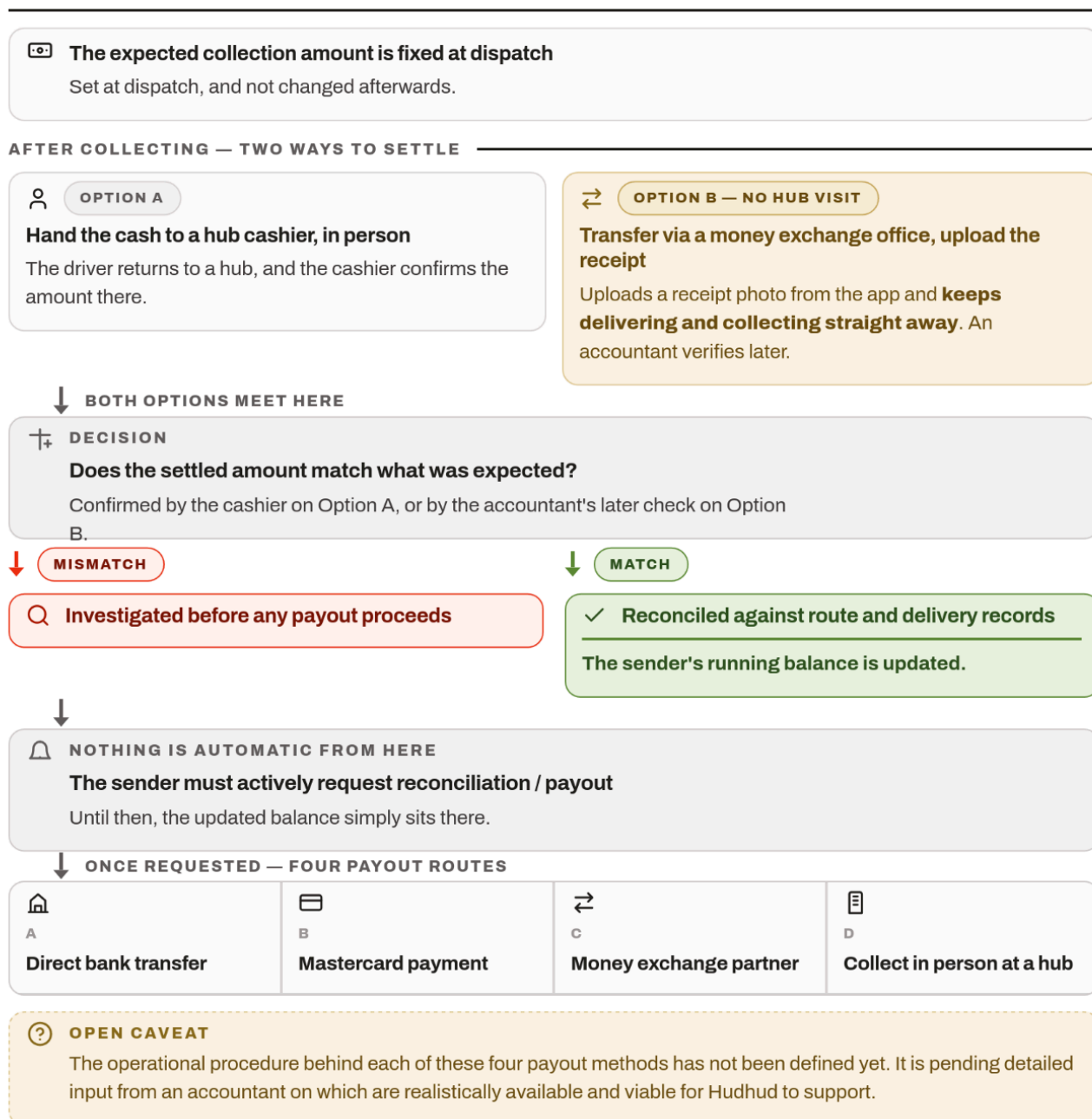


Figure 11 — From cash in a driver's hand to money in a merchant's account

Text description of Figure 11:

Driver collects cash (amount fixed since dispatch)
→ Driver chooses how to settle it:

- Option A → Hand cash to the hub cashier in person
- Option B → Transfer via a money exchange office, upload the receipt photo, and continue delivering/collecting further COD right away – an accountant verifies the receipt afterward
- Matches what was expected (or receipt confirmed by the accountant)?
 - NO → Mismatch investigated before payout
 - YES → Matched against route & individual delivery records
 - Sender's balance updated
 - Sender requests reconciliation
 - Payout method (one of):
 - Bank transfer
 - Mastercard
 - Money exchange partner
 - Directed to a hub to collect cash in person

Open item — needs an accountant's input

Four payout methods are planned — bank transfer, Mastercard, a money exchange partner, or in-person collection at a hub — but the exact procedure for each still needs to be defined in detail by an accountant, based on which approaches are actually available and viable for Hudhud.

Confirmed decision

A COD parcel counts as paid only when one of these has actually happened: an online payment succeeded, a POS card payment was approved, or physical cash was collected and handed to the hub cashier — including when the receiver comes to a hub in person to collect and pay for their own parcel. **CHANGED IN V6.3** There is no digital wallet payment option for receivers, and cash-transfer-via-exchange-office is not a valid way to confirm the original payment (it remains a valid way for a driver to settle cash they've already collected — see below).

Role boundary — Hub Cashier

The hub cashier collects and reconciles cash from drivers. The hub cashier does **not** decide payout amounts or timing.

9. Refusal, Return & Refunds

The core principle governing this entire chapter is simple: **Hudhud delivers the parcel, or brings it back. Hudhud is not in the business of handling refunds** — with exactly one exception, described below.

Key definitions for this chapter

(see also the glossary above) -

Open-box

: a merchant-enabled option letting the receiver inspect before accepting. -

Return-fee ownership

: always the merchant, with no exceptions today. **CHANGED IN V6.3** Whether Hudhud might waive this fee as a merchant feature is an open question — see Appendix A. -

Refund ownership

: Hudhud refunds only when Hudhud itself collected the payment in advance; otherwise it is a matter between merchant and receiver. -

Hudhud's liability position

: **CHANGED IN V6.3** full responsibility for the parcel's safety while in Hudhud's custody — Hudhud compensates the sender if something happens to it.

There is no return window after acceptance

Once a receiver accepts a parcel at the door, that decision is final. Everything described in this chapter happens **at the door, at the moment of delivery**, not afterward.

Reasons a parcel is not kept

- The parcel is damaged
- The wrong parcel was sent
- The receiver declines to accept it, for any reason or no reason at all

- (Only if the merchant enabled open-box) the receiver opened and inspected it, and decided not to keep it
-

Open-box: inspecting before accepting

If the merchant has enabled open-box for a shipment, the receiver may open and check it before finalizing acceptance — without open-box enabled, the receiver must accept or refuse the parcel sealed, without opening it first.

FIGURE 12 — OPEN-BOX DETAIL

Open-box off, open-box on

Assume the driver has arrived and the one-time code is already verified. The only branch point here is whether the merchant enabled open-box for this particular shipment.

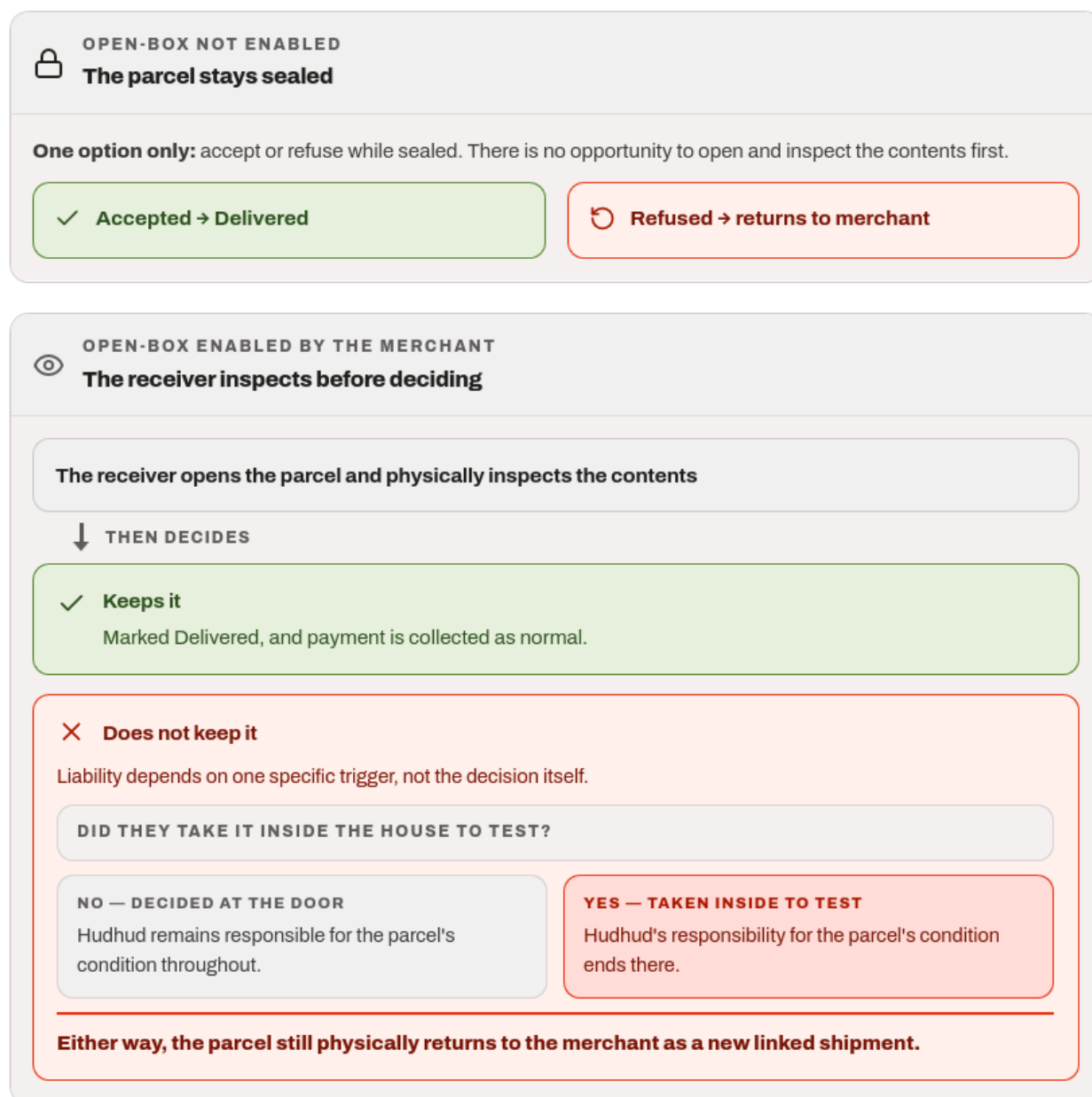


Figure 12 — What changes once the receiver is allowed to look before accepting

Text description of Figure 12:

```

Driver arrives, code verified
→ Did the merchant enable open-box?
  NO → Receiver must accept or refuse sealed, without opening it first
  YES → Receiver opens and inspects before deciding, at the door
  
```

→ Does the receiver take the parcel inside the house to test it?

YES → Hudhud's responsibility ends at that point – still returns to merchant as a linked shipment if not kept

NO → Hudhud remains responsible for the parcel's condition during the at-the-door inspection

→ Keeps the parcel?

NO → Returns to merchant as a linked shipment

YES → Delivered, payment collected as usual

Confirmed decision

CHANGED IN V6.3

Responsibility for the parcel's condition during an open-box inspection stays with Hudhud, for as long as the check happens at the door. If the receiver takes the parcel inside their home to test it, Hudhud's responsibility ends at that point.

What happens when a parcel is not kept

FIGURE 13 — REFUSAL, RETURN & REFUND

The reason never matters. Who paid always does.

Applies whenever a receiver does not keep a parcel, for any reason whatsoever.

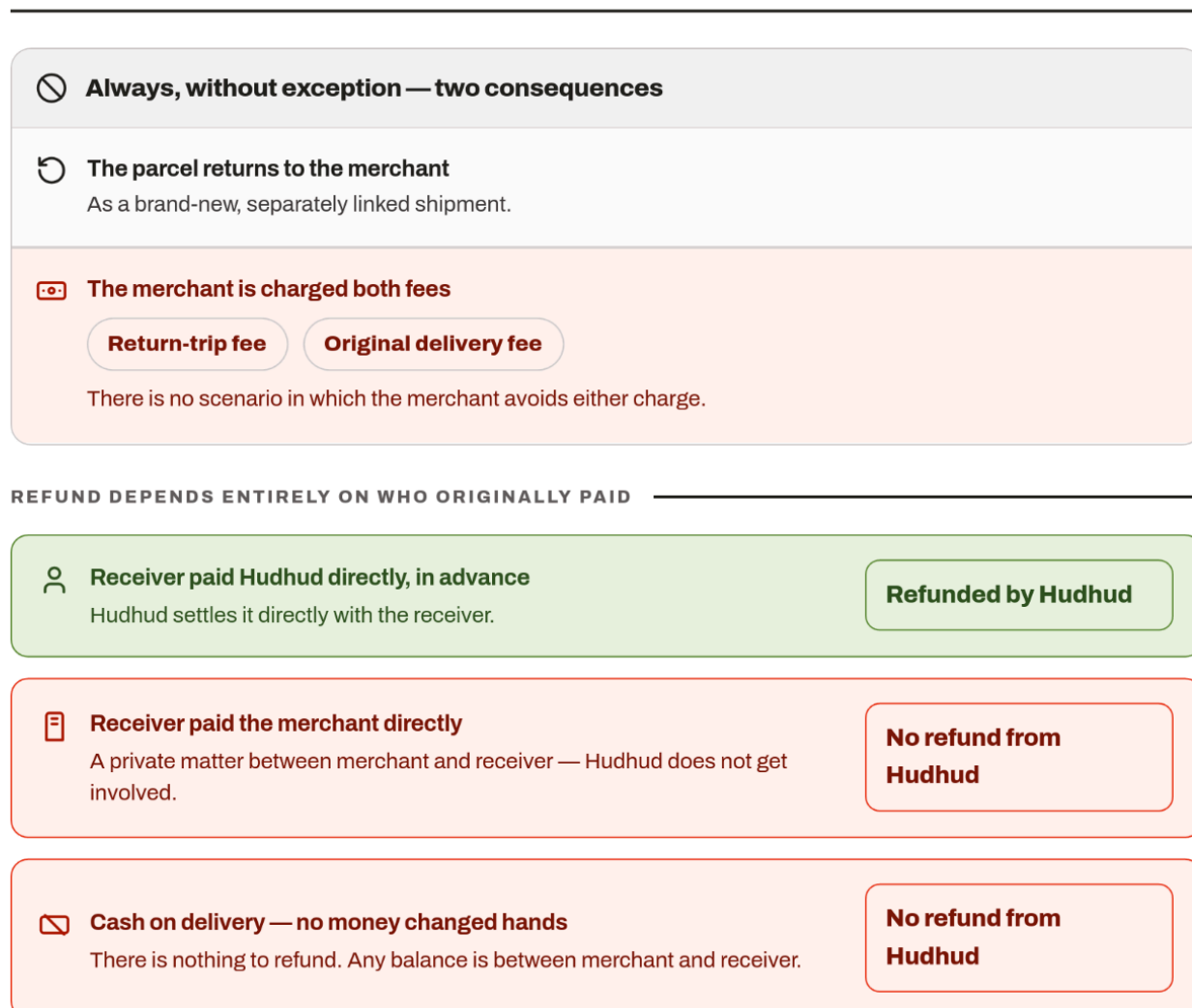


Figure 13 — The parcel always goes back to the merchant — so do both fees

Text description of Figure 13:

```
Receiver does not keep the parcel — any reason
→ Parcel returned to merchant as a new, linked shipment
→ Merchant is charged both the return-trip fee and the delivery fee
→ Did the receiver pay Hudhud directly, in advance?
  YES → Hudhud refunds the receiver directly
  NO (paid the merchant, or was COD) → No refund from Hudhud — a matter between
merchant and receiver
```

Confirmed decision

If a receiver refuses a parcel, for any reason, both the return-trip fee and the original delivery fee are charged to the

merchant

. There is no distinction based on whether the reason was valid.

Who issues a refund

Confirmed decision

Hudhud does not handle refunds, as a general rule. The single exception: if the receiver paid

Hudhud directly

(not the merchant) in advance, and then refuses the parcel at the door, Hudhud refunds that receiver directly.

WHO WAS PAID, IN ADVANCE	WHO ISSUES THE REFUND ON A DOOR-SIDE REFUSAL
Receiver paid the merchant directly	Not Hudhud's responsibility — a matter between merchant and receiver
Receiver paid COD (nothing paid in advance)	No refund applicable — no payment was made
Receiver paid Hudhud directly, in advance	Hudhud refunds the receiver directly

Parcel responsibility: Hudhud takes full ownership

CHANGED IN V6.3

This section is reversed from earlier versions: Hudhud is now responsible for the parcel's safety by default, not the other way around.

FIGURE 14 — FULL LIABILITY**Hudhud takes full responsibility, by default**

This policy replaces the previous position entirely. Any earlier version of this figure no longer applies.

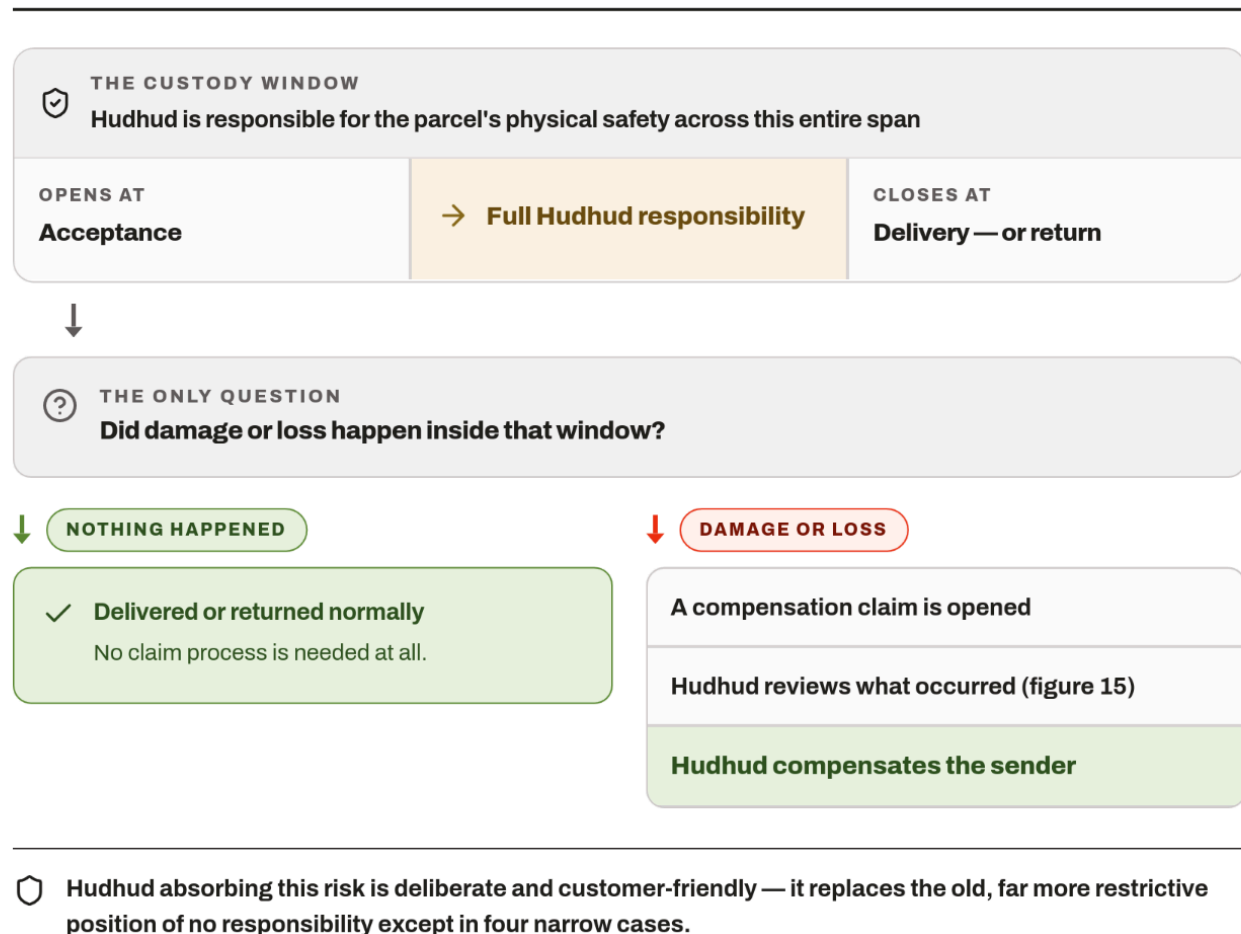


Figure 14 — Hudhud's starting position is now full responsibility for the parcel's safety while in its custody

Text description of Figure 14:

Parcel is in Hudhud's custody — accepted, but not yet delivered or returned

→ Something happens to it (damage or loss)?

NO → Delivered or returned normally — no claim needed

YES → A compensation claim is opened → Hudhud reviews what happened

→ Hudhud compensates the sender

Confirmed decision

CHANGED IN V6.3

Hudhud takes full responsibility for the parcel's safety while it is in Hudhud's custody. If something happens to a parcel — damage or loss — Hudhud compensates the

sender. This replaces the earlier default-no-responsibility position and its list of narrow exceptions.

CHANGED IN V6.3

A compensation claim can be opened by the sender, receiver, or driver whenever a parcel is found damaged or missing while in Hudhud's custody ; Hudhud reviews the available scan and custody records to understand what happened before compensating the sender.

FIGURE 15 — COMPENSATION CLAIM HANDLING

How a claim is actually handled

The operational process that runs whenever damage or loss is reported under the policy in figure 14.

ANY ONE OF THREE PARTIES CAN OPEN A CLAIM

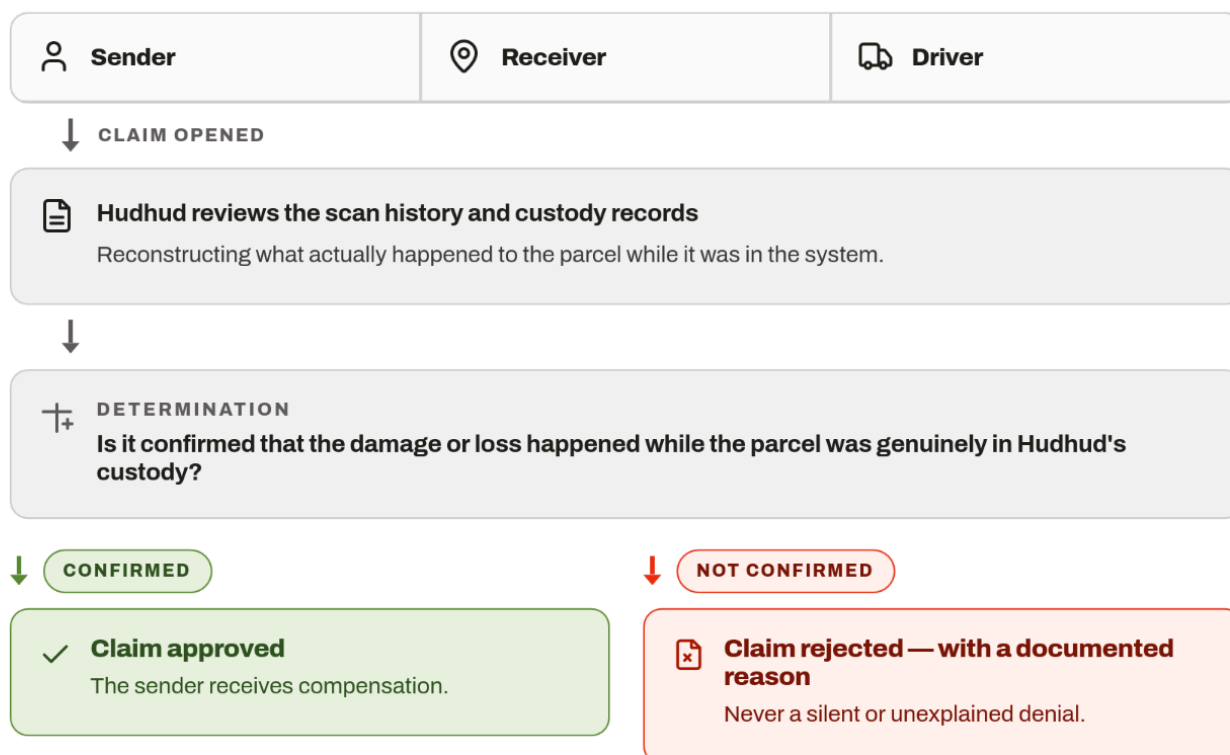


Figure 15 — What happens once a compensation claim is opened

Text description of Figure 15:

Damage or loss is reported
 → Claim opened (by sender, receiver, or driver)
 → Scan & custody records reviewed

→ Damage or loss confirmed as having happened in Hudhud's custody?

YES → Approved – sender is compensated

NO → Rejected – documented reason given

10. Keeping the Whole Journey Visible

Every stage described above feeds into one shared operational picture, so that problems can be seen and acted on while a shipment is still in motion.

WHAT IS BEING WATCHED	THE QUESTION IT ANSWERS
Vehicles moving between cities	Where is every inter-city vehicle right now, and is it on schedule?
Delivery goal risk	Which parcels are at risk of missing the 24-hour goal , and where is the delay coming from?
Cash exposure	Which drivers are currently holding how much cash, and has anyone gone over their limit?
Hub activity	Which hubs are backed up, and which parcel groups are ready, delayed, or missing?
Returns & claims	Which parcels are being refused, returned, or investigated for a damage or loss compensation claim?

Appendix A — Open Items for Executive Decision

ITEM	WHAT IT AFFECTS
CHANGED IN V6.3 What data to collect from a merchant applicant — for example phone number, name, business address, business title, and website/social media pages if any — and how approval or rejection is decided once requested. This cannot take a long time to process.	Blocks building the merchant-application flow (Chapter 2)
CHANGED IN V6.3 Inter-city checkpoint requests to open a parcel — resolved: parcel is returned to the merchant; cameras may be added in transport vehicles.	See Chapter 5
CHANGED IN V6.3 Exact procedure for each merchant payout method (bank transfer, Mastercard, money exchange partner, hub pickup)	Needs to be defined in detail by an accountant before payout can be built (Chapter 8)
The high-value declared-value threshold	The number above which a parcel is treated as high-value is still not formally set
Showing the customer their exact delivery goal	Without this, the receiver cannot be shown a reliable countdown or estimated delivery window
CHANGED IN V6.3 Whether Hudhud should waive the return-trip fee for merchants as a standing feature, instead of always charging it	Would change the return-fee ownership rule in Chapter 9 if adopted (Chapter 9)

Appendix B — Sources

- Hudhud Comprehensive Product & Operations Analysis, v1.4 (English / Arabic / Farsi)
- Direct operational input from Hudhud leadership, defining the current operational model